

Lightspeed beat a different path. In 2023, it backed Software as a Service (SaaS) management platform Zluri in a Series B funding round.

The following year, it made significant growth investments in PhysicsWallah and Zepto; SolarSquare, which installs solar energy equipment at homes and businesses, and health care services provider Qure.ai. Investments tapered in 2025, with a few select bets such as Snabbbit, an on-demand home services platform, and a \$170 million round in Weaver Services, a technology-first housing finance company, co-led with Premji Invest.

PHYSICSWALLAH

Lightspeed's bet on PhysicsWallah, which is preparing for a ₹3,820-crore IPO following approval by market regulator Securities and Exchange Board of India, wasn't without risks—especially in the shadow of Byju's downfall. The comparison is inevitable, but Dev Khare, a partner at Lightspeed, is unequivocal in swearing by his confidence in PhysicsWallah.

78 | PhysicsWallah faces its share of challenges, particularly in the largely unorganised offline coaching market, where a few of its *Vidyapeeth* (offline) centres have shut down. *Vidyapeeth* has a presence in 100 cities, but *BT* couldn't independently verify the exact number of centres. What sets PhysicsWallah apart, Khare says, is that it represents the second wave of edtech in India—where high sales and marketing spending are giving way to low-cost customer acquisition.

Satish Meena of Datum Intelligence offers a different perspective. He says that, apart from PhysicsWallah, most of Lightspeed's edtech bets have stumbled—Byju's being the biggest write-off, despite once being

hailed as a crown jewel of edtech.

PhysicsWallah now remains the only major player in the edtech space with the potential to deliver meaningful returns.

ZEPTO

On the quick commerce front, Zepto, which started in 2021 has emerged as a key investment, with backing from several marquee VCs. The quick commerce delivery firm is among Lightspeed's most prominent growth-stage bets. In 2024, Lightspeed, along with other investors, poured over \$1 billion across two back-to-back rounds—the largest single funding spree in India's start-up ecosystem.

Quick commerce itself has exploded—from a \$100 million market in FY2020 to \$3.5 billion in FY2023, and projected to hit \$40 billion by FY30.

Rahul Taneja, a partner at Lightspeed who tracks “Bharat” markets, admits that the firm underestimated the trend. “Our assumption was that a very large business can be built in the top 15–20 cities. Beyond that, may be it will happen, may be it will not. But today, when you see Zepto, I am surprised,” he says.

One of the biggest challenges for Zepto has been profitability. Zepto's losses as of December 2024 stood at ₹1,214 crore, according to Tracxn.

Competition from listed giants Swiggy and Zomato to newer entrants like Flipkart Minutes, BigBasket, Amazon's Tez, and Jio is mounting, likely a key reason for Zepto to hold back IPO plans.

For Lightspeed, Zepto's eventual listing would be a landmark moment—validating its growth-stage strategy in India and potentially delivering one of its biggest payoffs in the market.

THE MONEY SHOW



NOTE FIGURES AS OF JAN 2025. AFTER THAT, LIGHTSPEED INDIA HAS MADE GROWTH STAGE INVESTMENTS IN START-UPS LIKE WEAVER FOR \$170 MILLION